China Battery

Cherry picking amid supply-side reform and global trade tensions

China's battery supply chain stocks have corrected 15–40% from early-May peaks (CSI300 -5%), reflecting a confluence of demand concerns, higher lithium costs, fund flows to AI/tech, and rising geopolitical uncertainty. The market's focus on EU-China trade tensions is warranted, but we believe China's recent capacity control policies are the true catalysts reshaping the sector's supply-demand dynamics. We summarize recent policy and geopolitical developments affecting China's battery sector, and our views on their implications:

1. China domestic policy—capacity controls (**positive**);
2. China outbound investment—State Council Order No. 837 (**neutral**);
3. EU–China trade tensions (**neutral**) and rising uncertainty around capacity expansions in Hungary (CATL, BYD); and
4. US tariffs (**neutral**) and the updated Section 1260H Chinese Military Companies (CMC) List (**neutral**).

- **Stock recommendations:** We reiterate **CATL as our top pick in the China battery value chain**, the only through-cycle compounder. We recently upgraded **CALB** and **Putailai** to Overweight (report). Our pecking order favors leaders with strong technology platforms, capital resources, and operational track records. Valuations are supported by disciplined supply growth and improving profitability, with policy resources allocated preferentially to top players. Risks include further trade actions (EU, US) and regulatory reviews in Hungary. We believe the market underestimates the structural benefits of capacity controls and subsidy rationalization. Key catalysts: policy implementation, trade measures, and local project approvals.

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China (domestic): Tightening of Capacity Expansion Approvals

Impact on battery industry: Positive

Policy Background

China's battery industry has experienced rapid capacity expansion over the past several years. A large number of manufacturers entered the market and aggressively expanded their low-end and homogeneous production capacity, resulting in significant oversupply across multiple segments of the value chain. The industry has increasingly faced irrational price competition, declining profitability and deteriorating returns on investment. Excessive capacity growth has also constrained technological upgrading, safety improvements and the transition towards higher-quality development.

Against this backdrop, MIIT, NDRC, NEA and SAMR have recently introduced co-ordinated measures to tighten approval requirements for new battery projects and capacity expansion plans, according to our interviews with industry participants. The objective is to shift industry competition away from scale-driven expansion towards technology, safety, product quality and high-end manufacturing capabilities.

Key Regulatory Changes

- **Centralization of Approval Authority**: Under the previous framework, provincial governments had significant discretion in approving battery capacity projects. The new policy substantially tightens this approval authority. Large-scale battery projects and cross-provincial investments may require review and approval at higher administrative levels, while overall capacity additions may increasingly be subject to centralized quota management. As a result, local governments may have less flexibility to independently approve new battery projects.
- **Grandfathering of Existing Projects**: The policy adopts a clear grandfathering principle. Projects that have already obtained approvals, completed filings or commenced construction prior to implementation of the new rules will generally not be affected and may continue construction and production as planned. Most expansion projects scheduled for 2026 have already completed the relevant approval process and are therefore expected to proceed normally. The tightening measures are primarily aimed at future capacity additions, with the impact becoming more visible from 2H27 onwards. ***JPM Comments:*** *We believe leading battery manufacturers have largely secured approvals for their near-term expansion plans and should therefore benefit from the transition period, while smaller competitors face increasing barriers to future growth.*
- **Quota-Based Allocation and Selective Expansion Framework**: The new framework introduces a quota-based approval mechanism rather than a blanket restriction on all capacity additions. Expansion approvals will increasingly be assessed based on factors including: capacity utilization rates, R&D investment intensity, manufacturing technology, environmental compliance, carbon footprint performance, financial health and operational quality. Policy resources such as land, energy quotas and expansion permits are expected to be allocated preferentially to leading manufacturers. In contrast, smaller battery producers lacking technological differentiation or relying primarily on low-end products may face significant challenges in obtaining approval for new capacity.
- **Higher Entry Barriers**: New battery projects will be required to satisfy stricter standards relating to energy density, cycle life, safety performance and sustainability

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metrics. Outdated technologies and low-end production capacity will face increasingly limited access to approvals, accelerating the elimination of inefficient and low-quality capacity.

Industry Implications

The policy effectively represents a new round of supply-side reform for China's battery industry. Smaller manufacturers are likely to lose opportunities for large-scale capacity expansion, while we expect leading companies with strong technology platforms, capital resources and operational track records to gain market share. The industry is moving away from an era of unlimited capacity expansion towards a more disciplined supply-growth framework.

JPM Comments: *After the overcapacity episode of 2023–24, industry participants and investors are notably more cautious this cycle ("Once bitten, twice shy," as noted in our 100-page battery cycle analysis published on 2 June). We view the Chinese central government's recent moves as structurally positive for the battery sector and particularly beneficial for industry leaders. The tightening of capacity approvals should help reduce irrational competition and improve industry profitability over time. We expect effective supply growth to slow from 2027 onwards, with the full impact of the policy likely becoming visible in 2028 as the industry's supply-demand balance improves.*

This is a continuation of MIIT's battery sector policies since 2024

Recent policy developments are broadly consistent with the regulatory direction observed over the past two years. Looking back at previous policy initiatives, China's battery industry reforms have generally focused on raising industry entry barriers, discouraging low-quality capacity expansion and reducing reliance on government support, rather than imposing immediate capacity cuts on existing production.

2024 MIIT Battery Industry Standard: Raising Technical Barriers for New Capacity (JPM report)

In May 2024, MIIT released the revised *Lithium Battery Industry Standard (2024 Edition)*, which significantly raised technical requirements for new industry capacity across batteries, materials and manufacturing processes. The policy increased the minimum energy-density requirements for EV batteries, with pack-level energy density raised from 150Wh/kg to 165Wh/kg for NCM and from 115Wh/kg to 120Wh/kg for LFP. For ESS batteries, cell-level energy density requirements were raised, while cycle-life requirements increased from 5,000 cycles to 6,000 cycles. Importantly, the policy did not mandate closure of existing capacity. Instead, it primarily applies to new projects and future approvals.

2024 Fair Competition Regulations and Subsidy Rationalization (JPM report)

In Sep-2024, MIIT introduced the Fair Competition Review Regulations. The policy explicitly restricted local governments from providing preferential subsidies, tax incentives and other forms of selective support to specific companies without proper legal authorization.

Our past report highlighted the industry's heavy dependence on government support. Government subsidies accounted for more than 70% of reported net profit for many tier-two battery manufacturers, compared with approximately 15-20% for CATL. Without government subsidies, tier-two battery makers were either loss-making or only

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marginally profitable.

The policy coincided with weakening local government finances, slower growth in green lending and tighter A-share refinancing conditions. As a result, weaker manufacturers increasingly faced funding constraints, while industry leaders with stronger balance sheets became less dependent on policy support.

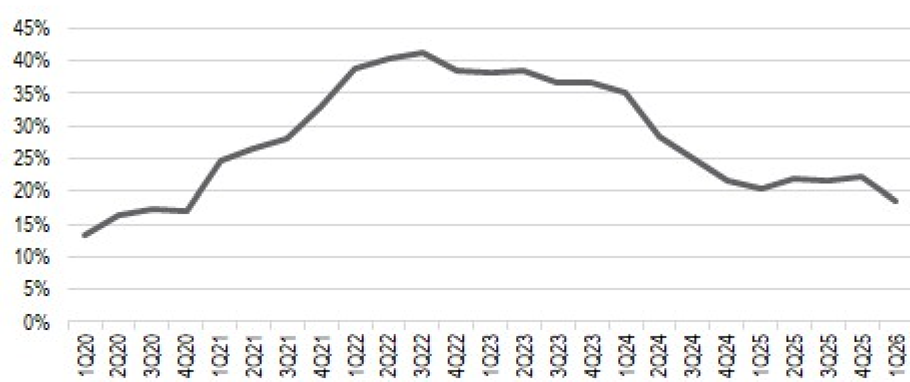
China's anti-involution campaign since 2025

China's "anti-involution" push has been framed as an ~18-month policy theme aimed at normalizing profitability/ROI via capacity rationalization and discouraging below-cost "price dumping," rather than through immediate, across-the-board administrative shutdowns. In practice, our channel checks and company discussions suggest the campaign has translated into closed-door, industry-association-led coordination across multiple battery & material subsectors (e.g., LFP cathode, separators, copper foil), with recurring "self-discipline" language around (i) maintaining pricing above cost and (ii) slowing/pausing incremental capacity expansion (often linked to utilization-rate thresholds), while noting that most measures are not mandatory and effectiveness ultimately depends on each subsector's supply-demand balance and concentration. Early read-throughs from company feedback point to improving price discipline in certain areas (e.g., dry separator price recovery and stabilization post-meetings) and a broader expectation among participants that pricing "will not deteriorate from here," with some anticipating further increases into 2026 as capacity expansion remains constrained.

China's green loans show declining support too

Figure 1 shows a clear downshift in the "green lending support" indicator from its peak around 3Q22 (above 40%) through 2024, bottoming in 1Q25 and followed by a modest stabilization/rebound over 2025. This trajectory broadly mirrors the battery capex cycle we have observed in the industry to date. The indicator then declines again in 1Q26, suggesting renewed moderation in policy-linked support and/or a cooling in industry capex momentum.

Figure 1: China green loans growth (y/y)



Source: PBOC

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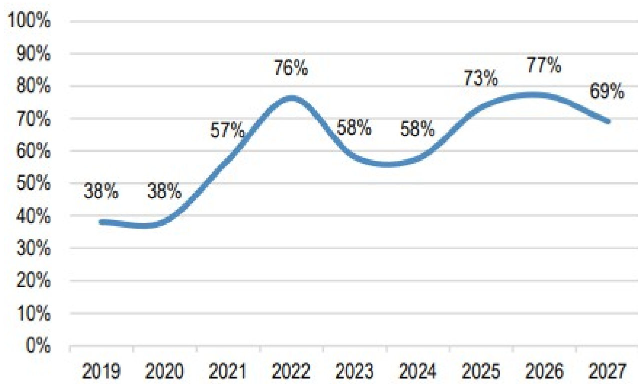
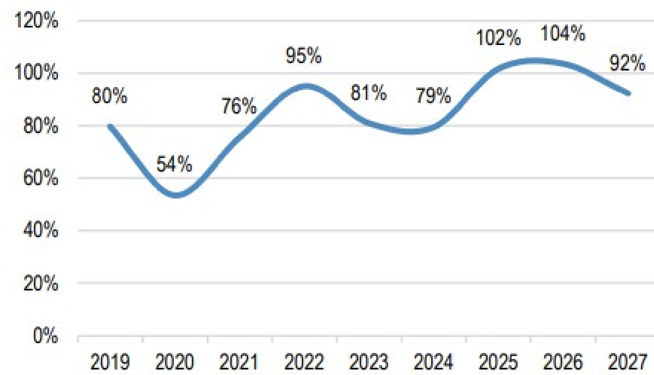
Figure 2: China EV and ESS battery industry capacity utilization rate (based on designed capacity)



Source: J.P. Morgan calculations. Note: Calculations based on company reports

Figure 3: China EV and ESS battery industry capacity utilization rate of the top 8 players



Source: Company data, J.P. Morgan calculations. Note: We used industry demand for the top 8 players' capacity for this chart. The eight names include: CATL, BYD, CALB, EVE, Gotion, Svolt, Sunwoda, Rep

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China (outbound investment): State Council Order No.837

Impact on battery industry: Neutral

Policy Background

On June 1, 2026, China officially released the Provisions on Outbound Investment (State Council Order No.837), which will take effect on July 1, 2026. The regulation represents the first administrative regulation governing outbound investment and significantly upgrades the legal status of overseas investment supervision compared with previous ministry-level regulations. Historically, outbound investment activities were primarily governed by NDRC Order No.11 and MOFCOM Order No.3. The new regulations consolidate existing requirements into a unified framework covering pre-investment review, ongoing supervision and post-investment enforcement.

Key Regulatory Changes

- **Export Control Requirements Embedded into the ODI Framework**: The new regulations incorporate restrictions relating to technology, services, data and personnel transfers into outbound investment activities. Companies are prohibited from circumventing export-control requirements through: overseas technical training, expatriate engineering assignments, remote technical support and cross-border transfer of restricted technologies or data.
- **National Security Review**: Article 15 establishes a formal national security review mechanism. Overseas investments involving critical technologies, strategic infrastructure or activities deemed relevant to national security may be subject to review by relevant authorities. The outcome of such reviews could directly affect project approvals and implementation timelines.
- **Stronger Enforcement and Penalties**: The regulations introduce significantly stricter penalties for non-compliant investments. Companies that proceed with prohibited outbound investments may face fines ranging from 0.5-1% of the investment value, while responsible executives may face financial penalties and restrictions on future outbound investment activities.

Implications for Battery Companies

- **Operating Overseas Projects:** The primary risk for operating overseas battery facilities lies in the continuity of technical support. Activities such as expatriate engineer deployments, remote technical services and operational support may become subject to additional compliance requirements.
- **Projects Under Construction:** Projects currently under construction may face increased approval complexity as national security review requirements are incorporated into existing ODI procedures. Companies may need to reassess project timelines, capital deployment schedules and compliance planning.
- **Future Projects:** For future projects, regulatory considerations will increasingly become part of the initial investment decision process, potentially slowing the pace of overseas expansion.

JPM Comments: *The provisions will closely align with China's existing export-control framework (JPM report). Current battery-related export controls remain focused on manufacturing equipment, high-performance LFP cathodes, and ultra-high-energy-density battery technologies, including batteries exceeding 300Wh/kg (e.g., solid-state battery technologies). Note that China’s export controls on the battery sector were*

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announced on 9-Oct-2025 and effective from 8-Nov 2025. However, this policy was later suspended for one year (November 7, 2025, to November 10, 2026). In our view, the new regulation effectively embeds export-control discipline into the outbound investment framework and may also provide policymakers with a more structured mechanism to respond to rising external restrictions from jurisdictions such as the EU and US. While overseas expansion remains an important strategic priority for Chinese battery companies, future projects are likely to be more compliance-intensive, with higher execution complexity and potentially longer approval timelines.

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Europe: A potential EU-China trade war?

Impact on battery industry: Neutral

According to Bloomberg news reported on May 18, 2026, the European Union is considering tougher trade measures to address rising Chinese imports. Potential measures under discussion include: import quotas, additional tariffs, anti-coercion instruments and new trade regulations targeting products deemed to benefit from government subsidies. The discussions reportedly cover sectors including solar, shipbuilding, steel, automotive, wind power and semiconductors.

Following a closed-door meeting of European Commissioners on May 29, the European Commission stated (news) that current trade and investment relations with China had become "unsustainable" and pledged a stronger response. Officials are reportedly preparing policy proposals for the June 18-19 EU leaders' summit. Potential measures under discussion include: supply-chain diversification initiatives, new trade-defense mechanisms and restrictions on Chinese participation in chemicals, metals and clean-energy technology sectors.

The EU's Industrial Accelerator Act (IAA), unveiled in March 2026, was conceived against the backdrop of mounting factory closures, shrinking industrial employment and rising strategic dependence on external suppliers. European policymakers increasingly believe these losses are not simply the result of normal market competition. Instead, they argue that Chinese firms benefit from massive state subsidies, preferential financing, lower regulatory costs and strategic industrial planning that European companies cannot match under existing market conditions. The concern is especially acute in sectors linked to the green transition such as electric vehicles, batteries, solar panels, aluminium and steel.

***JPM Comments:** Automotive and solar have been explicitly cited in recent reporting as likely targets for EU trade measures; batteries have not. We view the risk of near-term, broad-based battery import tariffs as relatively low, given Europe's limited domestic substitutes and the strategic importance of maintaining battery supply for the green transition. That said, the policy trajectory is becoming clearer: the EU appears to be moving beyond traditional trade-defense actions towards a wider supply-chain "de-risking" framework designed to reduce reliance on Chinese supply chains (potentially via localization incentives, procurement rules, and tighter participation criteria for certain sectors). In this environment, Chinese battery manufacturers that already have approved EU capacity projects may be comparatively well positioned, as local production could help mitigate tariff/regulatory risk and align with the EU's push for supply-chain diversification amid rising geopolitical complexity (including China's State Council Order No. 837, the EU's Industrial Accelerator Act, and broader trade tensions).*

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Potential changes in Hungary's stance towards Chinese investment?

Hungary's newly elected leader, Peter Magyar (as of 9 May 2026) has signaled a generally open and pragmatic stance towards Chinese investment, while emphasizing stricter review and "value add" expectations. He has said he is open to cooperation with China and prefers focusing on shared interests rather than undermining or halting existing projects. At the same time, he indicated Chinese investment projects would be reviewed to ensure compliance with EU and Hungarian environmental, health, and labor standards. However, recent news reports have flagged potential local political challenges against CATL and BYD's investment plans.

- **CATL:** On May 30, 2026, Zsolt Tárkányi, Parliamentary State Secretary at Hungary's Ministry of Transport and Investment, stated that the new Tisza-led government "will not be a partner" in CATL's plans for additional phases that would amount to a "second" and "third" plant next to the existing Debrecen site (news). The new administration intends to strengthen regulation of the battery sector and may impose stricter penalties on companies that violate regulatory requirements. The government is also reviewing how public consultations and local hearings are conducted for major industrial developments, suggesting a more stringent approval process for future projects.
- **BYD:** According to media reports (news) in March 2026, Hungarian authorities have launched labor and environmental investigations related to the construction of BYD's EV manufacturing plant in Szeged, Hungary. The investigations reportedly stem from allegations raised by labor-rights organizations regarding the treatment of Chinese construction workers involved in the project, including concerns over working hours, recruitment practices and living conditions. Authorities have reportedly initiated labor inspections and environmental reviews and the investigations remain ongoing and no final determination has been made regarding the forced-labor allegations.

JPM Comment: *We will closely monitor the development of CATL's Phase II & III battery capacity construction in Hungary. CATL's Hungary greenfield project was planned as a ~100GWh plant across three phases (Phase I 34GWh with EUR2.7bn announced investment; Phase II 38GWh with EUR2.1bn; Phase III ~30GWh with EUR2.5bn). Phase I completed installation/commissioning work by end-2025 and is currently in ramp-up stage. Phase II was initially scheduled to start production in 2027 or later.*

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US: Proposed Section 301 tariffs

Impact on battery industry: Neutral

Policy Overview

On June 2, 2026, the US Trade Representative (USTR) issued a determination under Section 301 of the Trade Act of 1974 concluding that 60 economies maintain unreasonable policies relating to the implementation of forced-labor import restrictions. The USTR subsequently proposed additional tariffs under Section 301(b). The USTR proposes additional tariffs on imports from all investigated economies, including an additional 12.5% tariff on imports from China.

Current Status

The proposal remains at the public consultation stage and has not yet become final policy. The process will likely involve: a public comment period, public hearings, inter-agency review, and final White House approval. Meaningful developments are unlikely before July.

Battery Exemption Assessment

Based on current proposals, power batteries are unlikely to qualify for exemptions. The exemption list currently appears limited, with aviation-related battery products representing one of the few battery categories explicitly exempted. Although the USTR has sought feedback regarding non-sensitive products, the industry expert believes power batteries are unlikely to be categorized as non-sensitive products.

Key Policy Watch Points

The current Section 122 measures are scheduled to expire on July 24. Market participants are closely monitoring whether the Trump administration will introduce new trade measures or extend existing policies to maintain pressure on China-related trade activities.

JPM Comments: *We view this as a non-event for the Chinese battery sector, given already-elevated US import tariffs. Current import tariffs on Chinese ESS batteries are 38.4%. More importantly, following the renewal of the OBBBA policy in July 2025, ESS projects using Chinese battery components are unlikely to be eligible for the Investment Tax Credit (ITC), which can represent ~30–40% of project capex. As a result, the market has already embedded expectations that Chinese battery suppliers will lose share in the US ESS market going forward. We expect the US market to be immaterial for Chinese battery manufacturers; therefore, changes to tariffs are viewed as a non-event.*

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US: Expansion of the Section 1260H (CMC) List

Impact on battery industry: Neutral

On June 8, 2026, the US Department of Defense (DoD) updated the Chinese Military Companies (CMC) List pursuant to Section 1260H of the FY2021 National Defense Authorization Act (NDAA). The revised list includes 80 parent companies and 188 affiliated entities, representing a meaningful expansion from previous versions. The updated list will be published in the Federal Register on June 10 and subsequently take legal effect.

The most notable development in this update is the broadening of industry coverage. While previous versions primarily focused on traditional defense-related sectors such as aerospace, shipbuilding, telecommunications infrastructure and military equipment manufacturing, the latest update expands into several of China's globally competitive strategic industries, including EVs, battery manufacturing, artificial intelligence, robotics and advanced manufacturing.

Within the battery supply chain, **EVE Energy** and **CALB** were added to the list, alongside EV manufacturers including **BYD** and **NIO**. This follows the Jan-2025 update, when CATL was added to the Section 1260H list. The latest expansion suggests that the US government is increasingly viewing China's new-energy supply chain as part of a broader strategic competition framework rather than focusing solely on traditional military-related industries.

JPM Comments: *Similar to our assessment following CATL's inclusion in Jan-2025, we do not expect the latest Section 1260H update to have a material near-term impact on the fundamentals or earnings outlook of affected battery companies. Section 1260H remains an advisory list and does not currently impose investment bans, export restrictions or prohibitions on conducting business with private US customers. As such, inclusion on the list does not directly affect companies' ability to sell products, source equipment or access US commercial markets.*

The key risk remains potential migration to more restrictive lists, such as (and not an exhaustive list) the NS-CMIC sanctions list, the US Department of Commerce Entity List, or the UFLPA Entity List, all of which carry more significant operational or investment implications. However, there is no direct linkage or automatic progression from Section 1260H designation to these more restrictive frameworks.

From a sector perspective, we view the latest update primarily as a sentiment and geopolitical risk event rather than a fundamental earnings risk. Nevertheless, the continued expansion of Section 1260H into China's leading technology and clean-energy industries reinforces our view that geopolitical and regulatory risks will remain an important consideration for investors assessing valuation and overseas expansion prospects across the battery supply chain.

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J.P.Morgan Relevant Reports

China's battery capacity controls and anti-involution

China Battery Materials: Anti-involution results unfolding; separator, LFP cathode and copper foil call takeaways, published on 3-Sep 2025

China Battery Materials: Can MIIT's new industry standard lead to capacity cuts? Higher requirement for battery performance, published on 4-Oct 2024

China Battery: Government subsidy subsiding? The policy direction and impact to industry, published on 9-Sep 2024

China's battery export control

China Battery: The "rare earth" in EV value chain; export control implications, published on 10-Oct 2025

CATL added to 1260H CMC list

Tencent and CATL: CMC list part 2: Top six investor Q&A, published on 13-Jan 2025

Tencent and CATL: Impact from being added to Chinese military blacklist by US Department of Defense, published on 8-Jan 2025

Europe IAA

Battery & Auto Parts: Read-through from EU's Industrial Accelerator Act, published on 5-Mar 2026

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Companies Discussed in This Report (all prices in this report as of market close on 12 June 2026, unless otherwise indicated)
CALB(3931.HK/HK$25.52/OW), CATL - A(300750.SZ/Rmb394.85/OW), CATL - H(3750.HK/HK$672.50/OW), Putailai(603659.SS/Rmb28.34/OW)

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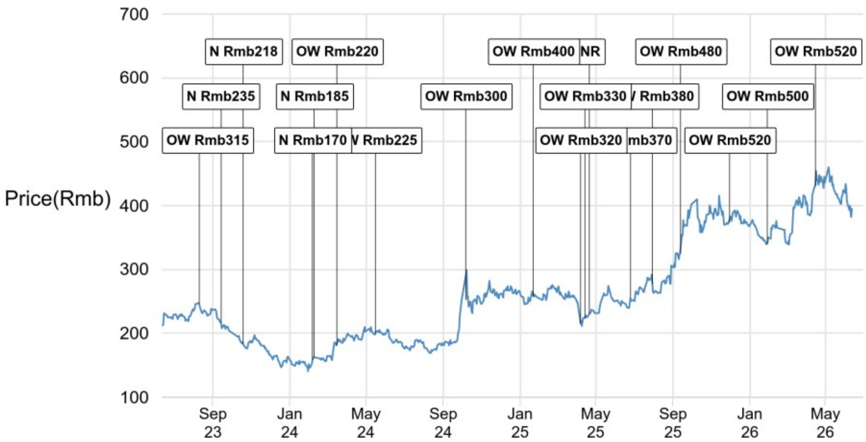
CALB (3931.HK, 3931 HK) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 18, 2022. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
08-Sep-23	N	16.62	14
05-Oct-23	UW	19.58	11
09-May-24	UW	13.88	6
26-Jun-25	N	17.68	15.5
14-Sep-25	N	26.76	30
07-Apr-26	N	33.00	36
30-May-26	OW	29.22	40

CATL - A (300750.SZ, 300750 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 27, 2018. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rmb)	Price Target (Rmb)
11-Aug-23	OW	246.50	315
14-Sep-23	N	216.60	235
20-Oct-23	N	182.70	218
07-Feb-24	N	158.33	170
09-Feb-24	N	162.84	185
17-Mar-24	OW	181.00	220
17-May-24	OW	199.67	225
07-Oct-24	OW	251.89	300
23-Jan-25	OW	258.00	400
08-Apr-25	OW	215.22	320
15-Apr-25	OW	224.00	330
22-Apr-25	NR	231.36	--
26-Jun-25	OW	254.90	370
31-Jul-25	OW	277.09	380
14-Sep-25	OW	325.00	480
30-Nov-25	OW	373.20	520
29-Jan-26	OW	339.99	500
16-Apr-26	OW	431.00	520

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Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 25, 2025. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
26-Jun-25	OW	319.00	400
31-Jul-25	N	426.60	415
14-Sep-25	OW	432.80	530
05-Oct-25	N	610.50	600
16-Nov-25	N	542.00	575
30-Nov-25	OW	472.00	650
29-Jan-26	OW	475.40	640
19-Mar-26	N	650.50	650
16-Apr-26	OW	655.50	725

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 01, 2019. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rmb)	Price Target (Rmb)
14-Sep-23	UW	32.60	22
22-Feb-24	UW	17.23	12
05-May-24	N	18.51	19.5
19-Sep-24	N	10.61	10
08-Oct-24	N	14.95	17
27-Oct-24	UW	15.96	13
26-Feb-25	N	16.96	17
26-Jun-25	N	18.81	19
04-Sep-25	N	24.05	27
29-Jan-26	N	28.44	29
28-Apr-26	N	36.97	40
30-May-26	OW	30.63	42

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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